

Alpha Transport Inc.

FINANCIAL STATEMENTS AND ACCOUNTANT'S COMPILATION REPORT

For the Three Months Ended December 31, 2023





Alpha Transport Inc.
PO Box 16615
Salt Lake City, UT 84116

Management is responsible for the accompanying financial statements of Alpha Transport Inc. (a corporation), which comprise the balance sheet as of December 31, 2023, and the related statement of income and expense for the six months then ended in accordance with accounting principles generally accepted in the United States of America. We have performed a compilation engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. We did not audit or review the financial statements nor were we required to perform any procedures to verify the accuracy or completeness of the information provided by management. Accordingly, we do not express an opinion, a conclusion, nor provide any form of assurance on these financial statements.

Generally accepted accounting principles require that a provision for uncollectible accounts receivable be recorded. The Company has not recorded such a provision for uncollectible accounts receivable in the accompanying financial statements, and the effects of this departure from generally accepted accounting principles have not been determined.

Management has elected to omit substantially all of the disclosures and the statement of cash flows required by accounting principles generally accepted in the United States of America. If the omitted disclosures and the statement of cash flows were included in the financial statements, they might influence the user's conclusions about the Company's financial position, results of operations, and cash flows. Accordingly, the financial statements are not designed for those who are not informed about such matters.

Larson & Company PC

Salt Lake City, Utah
February 15, 2024

Alpha Transport Inc.
Balance Sheet
December 31, 2023

Assets

Current assets

Cash in bank	\$ 3,846,642
Petty cash	514
Short term investments at market	165,249
Holmes Murphy cash collateral	873,740
Accounts receivable	2,452,571
ERC receivable	177,694
Inventory - tires	26,154
Inventory - truck parts	297,420
Inventory - fuel	42,076
Prepaid insurance	203,016
Clearing accounts	(84,429)
Total current assets	<u>8,000,646</u>

Property, plant and equipment

Trucks and trailers	27,061,445
Light trucks and construction equipment	277,996
Leasehold improvements	1,226,533
Office equipment	870,291
Shop equipment	564,991
Blue Sky/goodwill	3,025,000
Less accumulated depreciation	(17,602,152)
Net property, plant and equipment	<u>15,424,104</u>

Other Assets

Income tax receivable	906,959
Captive stock	25,000
Total other assets	<u>931,959</u>

Total assets	<u><u>\$ 24,356,709</u></u>
--------------	-----------------------------

Alpha Transport Inc.
Balance Sheet
December 31, 2023

Liabilities & Stockholders' Equity

Current liabilities

Accounts payable	\$ 1,366,096
Accrued payroll	894,853
Payroll and sales taxes payable	5,325
Property tax payable	5,400
Mileage tax payable	107,766
Deferred tax liability	2,603,914
Washington state use tax payable	(131,436)
Current portion treasury stock purchase	104,230
Current portion notes and contracts payable	<u>2,883,317</u>
Total current liabilities	7,839,465

Long term debt

Notes and contracts payable	4,519,141
Note payable-treasury stock purchase	<u>218,067</u>
Total long term debt	<u>4,737,208</u>

Total liabilities	12,576,673
-------------------	------------

Stockholders' equity

Capital stock authorized 500,000 shares of \$1.00 par value; 18,439 shares issued and outstanding	18,439
Beginning retained earnings	11,241,276
Current retained earnings	<u>520,320</u>
Total stockholders' equity	<u>11,780,035</u>

Total liabilities & stockholders' equity	<u><u>\$ 24,356,709</u></u>
--	-----------------------------

Alpha Transport Inc.
Statement of Income and Expense
For the Six Months Ended December 31, 2023

Income	
Freight revenue and shop sales	\$ 21,862,115
Land and equipment rental	29,330
Unrealized gain (loss) on investment	(67,922)
Investment income realized	(46,483)
Life insurance cashout revenue	49,679
Total income	<u>21,826,718</u>
Cost of sales	<u>1,355,059</u>
Gross profit	20,471,660
Expenses	
Salaries, wages and related taxes	9,230,146
Operating expenses	6,980,188
Administrative expenses	1,844,998
Depreciation	1,521,915
Interest	224,093
Total expenses	<u>19,801,339</u>
Net income from operations	670,320
Other expense	
Income tax expense	<u>150,000</u>
Net income after tax	<u><u>\$ 520,320</u></u>